NOTE 17. INCOME TAXES

RLJE files income tax returns in the U.S. Federal jurisdiction and various state jurisdictions. Our subsidiaries in the United Kingdom and Australia continue to file income tax returns in their foreign jurisdictions.

Income taxes are accounted for under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. We must assess the likelihood that our deferred tax assets will be recovered from future taxable income and, to the extent that it is more likely than not that such deferred tax assets will not be realized, we must establish a valuation allowance.

As of December 31, 2015, we have a valuation allowance against 100% of our deferred tax assets, which are composed primarily of net operating loss (or *NOL*) carryforwards that were either acquired in the Business Combination or generated in the years following. Even though we have reserved all of these net deferred tax assets for book purposes, we would still be able to utilize them to reduce future income taxes payable should we have future taxable earnings. To the extent our deferred tax assets relate to NOL carryforwards, the ability to use such NOLs against future earnings will be subject to applicable carryforward periods. As of December 31, 2015, we had NOL carryforwards for Federal and state tax purposes of approximately $87.3 million and approximately $59.6 million, respectively, which are available to offset taxable income through 2035. Our NOL carryforwards begin to expire in 2017. NOL carryforwards that were acquired in the Business Combination reflect our assessment of an annual limitation on the utilization of these carryforwards due to ownership change limitations as required by Section 382 of the Internal Revenue Code of 1986, as amended (the “Code”), as well as similar state limitations.

Income tax expense is summarized below:

(In thousands)	Years Ended December 31,	
	2015	2014
Current		
Federal	$ —	$ —
State	87	66
Foreign	148	145
	235	211
Deferred		
Federal	(389)	(302)
State	(21)	22
Foreign	340	468
	(70)	188
Total Tax Expense	$ 165	$ 399

Loss before provision for income taxes is as follows:

(In thousands)	Years Ended December 31,	
	2015	2014
Domestic	$ (55,664)	$ (22,711)
Foreign	849	1,910
	$ (54,815)	$ (20,801)

The tax effects of temporary differences that give rise to a significant portion of the net deferred tax assets and liabilities are presented below:

(In thousands)	December 31,			
	2015		2014	
	U.S. Federal and State	Foreign	U.S. Federal and State	Foreign
Deferred tax assets:				
Intangible assets	$ 14,079	$ —	$ —	$ —
Provision for lower of cost or market inventory write-downs	2,717	—	4,232	—
Net operating loss carryforwards	32,380	737	25,173	416
Allowance for sales returns	1,541	—	1,208	—
Allowance for doubtful accounts receivable	97	—	12	—
Marketing discounts and price protection reserves	1,925	—	2,559	—
Accrued compensation and benefits	170	—	173	—
Tax credits carryforwards	4,583	—	4,156	—
Other	444	12	371	13
Deferred tax assets	57,936	749	37,884	429
Less valuation allowance	(55,796)	(737)	(35,837)	(416)
Deferred tax assets	2,140	12	2,047	13
Deferred tax liabilities:				
Warrant and other derivative liabilities	(2,140)	—	(1,625)	—
Goodwill amortization			(833)	—
Equity income in ACL	—	(1,851)	—	(1,604)
Deferred tax liabilities	(2,140)	(1,851)	(2,458)	(1,604)
Net deferred tax assets and liabilities	$ —	$ (1,839)	$ (411)	$ (1,591)

A reconciliation of income tax benefit based on the federal statutory rate to actual income tax expense (benefit) is as follows:

(In thousands)	Years Ended December 31,	
	2015	2014
Expected federal income tax benefit at 34%	$ (18,637)	$ (7,072)
Expected state income tax benefit, net of federal tax benefit	(1,878)	(713)
Current state income taxes	87	66
Non-deductible expenses	28	93
Change in valuation allowance	20,280	9,206
Change in prior year deferred tax allowance	913	(671)
Current foreign income taxes	147	145
Foreign tax credit	(934)	(1,132)
Other	159	477
Total tax expense	$ 165	$ 399

Our significant tax returns are filed in the following jurisdictions: United States, United Kingdom and in the following states: Maryland and California. The tax years for 2009 through 2015 remain open to examination. We are not currently under examination by any of the jurisdictions where we file significant tax returns. We believe that our tax filing positions and deductions will be sustained if audited and we do not anticipate any adjustments that would result in a material adverse effect on our financial condition, results of operations, or cash flow. Therefore, no reserves for uncertain tax positions have been recorded.